

The EU has pledged to reduce its net GHG emissions by at least 55% by 2030 (compared to 1990 levels) and achieve climate neutrality by 2050. Towards that, it has devised CBAM, with which it aims to impose a fair price on emissions during the production of carbon-intensive goods entering the EU and encourage cleaner industrial production in non-EU countries.

“CBAM is essentially a carbon pricing system for imports of certain goods into the EU, aimed to level the playing field between European companies, which pay for carbon emissions under the EU Emissions Trading System (ETS), and foreign firms that may not incur such costs as they enter the markets,” explains Jagjeet Sareen, Partner and Climate lead at advisory firm Dalberg Advisors. This mechanism charges importers based on the carbon emitted in the production of goods coming into the EU, in contrast to a straightforward carbon tax that charges a set fee per tonne of carbon emitted, irrespective of the product’s origin. Initially, CBAM will apply to imports of certain goods whose production is carbon-intensive, including cement, iron and steel, aluminium, fertilisers, electricity, and hydrogen. But by 2034, it is expected to be applicable to all materials and finished products that are covered under the EU ETS scheme for European producers.

In January 2026, the definitive regime will kick in, and importers will not only have to declare embedded emissions, but also buy CBAM certificates and surrender them to offset emissions. “Carbon cost paid at origin can be deducted from the payable CBAM charges (provided there is evidence of the cost). Under this, it is expected that the respective impacted countries will create official mechanisms so that the carbon cost can be paid within the country, which should be acceptable to the EU,” says Chaitanya Kalia, Partner & Leader, Climate Change and Sustainability Services, at consulting firm EY India.

The transition period will also have a big impact on Indian exporters who fall under the specified sectors—they must comply with CBAM’s reporting requirements. This involves calculating direct and indirect embedded emissions in accordance with the EU’s guidelines and submitting quarterly reports. But the biggest challenge is accurately calculating emissions. “The methodology for this calculation is stricter than the other frameworks like the GHG Protocol or product-level footprint analyses. A significant portion of Indian exporters lack in-house expertise and will need to hire professional consultants, adding to their expenses,” says Manish Dabkara, Chairman & MD of EKI Energy Services Ltd and

THE CARBON CONUNDRUM

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To help the EU reduce emissions by at least 55% by 2030 (from 1990 levels), and be carbon neutral by 2050, the Carbon Border Adjustment Mechanism (CBAM) has been introduced
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Imports of iron and steel, electricity, cement, hydrogen and aluminium sectors are included under CBAM
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Under the transition phase, companies are required to report total verified greenhouse gas (GHG) emissions embedded in goods imported in a given calendar year
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India opposes CBAM as an unfair trade practice and Indian officials have challenged it at the WTO
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Among the sectors identified, based on exports to the EU, aluminium and iron & steel are likely to be impacted the most
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Indian companies impacted by CBAM are preparing themselves to reduce GHG emissions by agreeing to net-zero targets

IMPLEMENTATION SCHEDULE

● While CBAM’s definitive regime kicks in on January 1, 2026, all imports to the EU will be covered by 2034

STAGE	PERIOD	REMARKS
1st Stage	October 1, 2023, to December 2025 (Transitional period)	CBAM applicable on iron & steel, electricity, cement, hydrogen and aluminium. However, there is no carbon border tax/financial outflow and emphasis is on collection and reporting of data
2nd Stage	January 2026 to December 2034	New products to be introduced within the CBAM ambit and levy of carbon tax
3rd Stage	After December 2034	Materials, finished goods to the EU under EU ETS

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